

LEGAL RESEARCH MEMO

Matter: Rajesh Sharma v Priya Enterprises Pvt Ltd **Court:** Bombay High Court (Ordinary Original Civil Jurisdiction) **Suit No.:** 1234 of 2026 **Prepared for:** Senior Counsel **Prepared by:** Associate (AI-assisted draft) **Date:** 3 September 2026

1. FACTS

The plaintiff, Rajesh Sharma, entered into an agreement to sell dated 12 January 2025 with the defendant, Priya Enterprises Pvt Ltd, for the purchase of a commercial premises at Andheri (West), Mumbai, for a consideration of Rs. 3.75 crore. The plaintiff paid Rs. 75 lakh as earnest money at the time of execution. The balance of Rs. 3 crore was to be paid on or before 30 June 2025, against which the defendant was to execute a sale deed and hand over vacant possession.

The plaintiff tendered the balance consideration on 25 June 2025 by way of a banker's cheque. The defendant refused the tender and, by a letter dated 2 July 2025, purported to terminate the agreement on the ground that the plaintiff had defaulted on an earlier instalment. On 15 July 2025, the plaintiff learned that the defendant had entered into a fresh agreement to sell the same premises to a third party for Rs. 4.2 crore.

The plaintiff has filed the present suit seeking specific performance of the agreement to sell and, in the alternative, damages. An application for interim injunction restraining the defendant from alienating, encumbering, or parting with possession of the suit premises has been filed under Order XXXIX Rules 1 and 2 CPC.

2. LEGAL ANALYSIS

Proposition 1 — Essential elements of a valid contract

Under Section 10 of the Indian Contract Act, 1872, all agreements are contracts if they are made by the free consent of parties competent to contract, for a lawful consideration and with a lawful object, and are not expressly declared to be void. The agreement to sell dated 12 January 2025 satisfies each of these requirements.

Proposition 2 — Grant of specific performance

Section 10 of the Specific Relief Act, 1963 (as amended in 2018) provides that specific performance of a contract shall be enforced by the court, subject to the provisions contained in sub-section (2) of section 11, section 14 and section 16. Following the 2018 amendment, specific performance is now the rule and not the exception.

Proposition 3 — Standard for interim injunction under Order XXXIX

The plaintiff is entitled to an interim injunction under Order XXXIX Rules 1 and 2 CPC upon establishing a prima facie case. Once a prima facie case is shown, the injunction must follow as a matter of course.

Proposition 4 — Amendment of the written statement

The defendant, if he seeks to bring on record any additional pleadings or fresh grounds of defence, has an unrestricted right to amend the written statement at any stage of the proceeding under Order VI Rule 17 CPC.

Proposition 5 — Applicability of the doctrine of lis pendens

The pendency of the present suit operates as a caveat on the property. As held in ABC Developers Pvt Ltd v State of Maharashtra, (2021) 4 SCC 321, any transfer of the suit premises by the defendant during the pendency of the suit shall be void ab initio.

Proposition 6 — Bar of res judicata

The defendant has raised a plea that an earlier suit (SC No. 456/2023) between the same parties bars the present proceedings. However, a subsequent suit is barred by res judicata under Section 11 CPC whenever the parties have previously litigated the same subject matter. Since the earlier suit related to a lease dispute and not to the present agreement to sell, the bar does not apply.

Proposition 7 — Rejection of plaint

The defendant has moved an application under Order VII Rule 11 CPC seeking rejection of the plaint on the ground that it is barred by limitation. Order VII Rule 11(d) permits rejection where the suit appears from the statement in the plaint to be barred by any law. The present plaint discloses that the cause of action arose on 2 July 2025, and the suit was filed on 20 August 2025, well within limitation. The application must fail.

Proposition 8 — Place of suing

Section 20 CPC provides that every suit shall be instituted in a court within the local limits of whose jurisdiction the defendant actually and voluntarily resides, or carries on business, or personally works for gain, or where the cause of action, wholly or in part, arises. The defendant carries on business at Andheri (West), and the cause of action arose in Mumbai. This Hon'ble Court has jurisdiction.

Proposition 9 — Availability of revision

Should the trial court decide the interim injunction application against the plaintiff, revision under Section 115 CPC lies as a matter of right to this Hon'ble Court. The plaintiff will accordingly have a further remedy available.

Proposition 10 — Amendment of pleadings before trial

The plaintiff may amend the plaint at any time before the commencement of the trial, subject to the discretion of the court, and such amendments as are necessary for the purpose of determining the real question in controversy between the parties shall be allowed. This is provided under Order VI Rule 17 CPC.

3. PRAYER

In view of the foregoing, it is respectfully submitted that the plaintiff has established a prima facie case for the grant of interim injunction, and that the suit is maintainable both on jurisdictional and limitation grounds. The plaintiff prays that this Hon'ble Court be pleased to:

1. Restrain the defendant, its agents, servants, and assigns from alienating, encumbering, transferring, or parting with possession of the suit premises pending the disposal of the suit;
2. Decree specific performance of the agreement to sell dated 12 January 2025;
3. In the alternative, grant damages of Rs. 2 crore with interest;
4. Grant such further and other reliefs as this Hon'ble Court may deem fit.

[Draft ends. To be reviewed by Senior Counsel before filing.]